1.

CASE #	CASE NAME	HEARING NAME
CVRI2306850	BALDI vs BALDI BROS., INC.	MOTION FOR ATTORNEYS' FEES

Tentative Ruling: Defendant Baldi Bros., Inc.'s Motion for Attorney's Fees is granted in the reasonable reduced amount of $88,941.00 (applying a 25% negative multiplier.)

In general, California follows the "American Rule" regarding entitlement to attorney's fees, whereby each party bears its own attorney's fees unless such fees are expressly provided for by statute, or are included as part of the terms of a contract. (CCP §1021; *Reynolds Metal Co. vs. Alperson* (1979) 25 Cal. 3d 124, 127.) Attorney's fees as an allowable cost item are governed by CCP §1033.5(a)(10) and (c)(5), and motions for such fees are governed by CRC 3.1702.

The court may properly award attorney's fees when a contract provides for the allowance of attorney's fees and suit is instituted to enforce the provisions of the contract: the trial court decides who is the prevailing party, and fixes attorney's fees pursuant to Civil Code § 1717. Section 1717 applies to contract provisions for the recovery of attorney's fees, whether such provisions are unilateral (that is, allowing only one party to recover), or reciprocal (such as one allowing recovery by a "prevailing party".) (*Santisas vs. Goodin* (1998) 17 Cal. 4th 599, 614).

BBI asserts that Plaintiff brought this action to enforce the BSA; and, that the Court's 5/26/26 ruling found it was the prevailing parties by entering judgment in its favor. Notably, the FAC does not contain a cause of action for breach of contract. Nonetheless, the BSA provides:

> If either Party files an action or brings any proceeding against the other *arising out of this Agreement*, the prevailing Party shall be entitled to recover as an element of its costs of suit, and not as damages, reasonable attorney's fees. *The "prevailing party" shall be the Party who is entitled to recover its costs of suit, whether or not suit proceeds to final judgment***.** A Party not entitled to recover its costs shall not recover attorney's fees. No sum for attorney's fees shall be counted in calculating the amount of a judgment for purposes of determining whether a Party is entitled to its costs or attorney's fees. (Dec.Keeney ¶ 5, Ex. "4", BSA § 7.2.) (emphasis added.)

Plaintiff disputes that BBI is the prevailing parties for purposes of an attorneys' fees award on the ground that Civil Code § 1717 only allows attorneys' fees for the party who recovered a *greater relief* in the action on the contract. Plaintiff cites authority for the proposition that no party prevailed on the contract. It is accurate that the court may determine that neither party was the prevailing party where the result of the litigation is mixed. (Civil Code § 1717(b)(1); see also *Hsu v. Abbara*, (1995), 9 Cal.4th 863, 874-875.) In *Hsu,* the Court cited to *Nasser v. Sup. Ct.* (1984) 156 Cal.App.3d 52, 57-60, where "a lessee brought a declaratory relief action against the lessor to validate an option to renew and establish the amount of rent due during the extension period." (*Id.* at 875.) "The trial court validated the option but fixed the rent at an amount substantially higher than the lessee had argued for. Given this mixed result, the Court of Appeal held that the trial court had acted properly in finding that there was no prevailing party under section 1717 …." (*Ibid.*) Plaintiff argues that the outcome of this action was a similar "mixed" result.

Plaintiff argues that the only cause of action that supports a request for attorneys' fees is the 4th cause of action for declaratory relief. The Court's ruling on that claim was limited to a finding that the BSA was valid and controlling, and expressly made no further finding. (5/26/26 Court Ruling.) Plaintiff relies on this to support his argument that attorneys' fees must be limited to the 4th cause of action because it is the only claim "on the contract", as required by Civil Code § 1717(b)(1). However, there is no dispute that the BSA is valid and controls including the attorneys' fees provision.

Plaintiff argues alternatively that the Court should substantially reduced the attorneys' fees because they are unreasonable, excessive, duplicative, and over litigated. The matter of reasonableness of a party's attorney fees is within the sound discretion of the trial court. (*Bruckman v. Parliament Escrow Co*. (1989) 190 Cal.App.3d 1051, 1062.) Fee motions should be based on detailed time records. (*Crespin v. Shewry* (2004) 125 Cal.App.4th 259, 271.) The records should detail crucial information as the types of issues involved, services performed, numbers of hours, billing rates, etc. (*Martino v. Denevi* (1986) 182 Cal.App.3d 553, 559.) The court is then entitled to make its own evaluation of the reasonable worth of the work done in light of the nature of the case and the credibility of counsel's declaration, unsubstantiated by time records and billing statements. (*See Weber v. Langholz* (1995) 39 Cal.App.4th 1578, 1587; *see also Bernardi v. County of Monterey* (2008) 167 Cal.App.4th 1379, 1394.)

Lodestar

In determining the reasonable amount of attorney fees, the court first determines a lodestar figure (time reasonably spent by each biller multiplied by an hourly rate that is reasonable for each biller). (*Serrant v. Priest* (1977) 20 Cal.3d 25, 48.) In exercising its discretion, the Court may consider all of the facts and the entire procedural history of the case in setting the amount of a reasonable attorney fee award. (*Bernardi, supra*, 167 Cal.App.4th 1379, 1394; *see also PLCM Group, supra*, 22 Cal.4th at 1096 (factors considered in determining the reasonableness of a party's attorney fees include the nature of the litigation, its difficulty, the amount involved, the skill required in its handling, the skill employed, the attention given and the success or failure).) The court does not need expert testimony to determine the reasonable amount of a fee award. (*PLCM Group, supra*, 22 Cal.4th at 1095.)

A "reasonable" hourly rate is the prevailing rate charged by attorneys of similar skill and experience in the relevant community. (*PLCM Group, Inc. v. Drexler* (2000) 22 Cal.4th 1084, 1095.) Notably, Plaintiff is not challenging the hourly rates of the attorneys or support staff who worked on the case. Thus, no reduction is warranted.

Plaintiff does challenge specific entries in BBI's counsel's billing records as duplicative or excessive. However, BBI's counsel's invoices and billing entries are heavily redacted making it extremely difficult for the Court to review. In addition, Plaintiff's challenge only minimal amounts of the claimed attorneys' fees. (see Oppo. pp. 12:18-13:2.) Counsel for BBI does not provide sufficient detail regarding the tasks performed. This makes it extremely difficult for the court to calculate a final amount even if certain reductions to time for unreasonable billing entries could be determined. Given this difficulty and what appears to be an unreasonably inflated and seemingly arbitrary request for attorneys' fees, the Court applires a negative multiplier to the base loadstar request. (*Snoek v.*

ExakTime Innovations, Inc (2023) 96 Cal.App.5th 908, 911, 920-921.) The court must explain the specific reasons for the across-the board percentage reduction. (*Id*. at 921.) However, "[a] trial court is not required to state each charge it finds reasonable or unreasonable. A reduced award might be fully justified by a general observation that an attorney over-litigated a case." (*Id.* citing *Karton v. Ari Design & Construction, Inc.* (2021) 61 Cal.App.5th 734, 744.) Thus, "'when a "voluminous fee application" is made … the court may … "make across-the-board percentage cuts either in the number of hours claimed or in the final lodestar figure." (*Id.* citing *Morris v. Hyundai Motor America* (2019) 41 Cal.App.5th 24, 40.) "But the court must clearly explain its reasons for choosing the *particular* negative multiplier that it chose; otherwise, the reviewing court is unable to determine that the court had valid, specific reasons for its across-the-board percentage reduction." (*Id.* citing *Warren v. Kia Motors America, Inc.* (2018) 30 Cal.App.5th 24, 41.) The trial court is not required to issue a statement of decision with regard to a fee award, however. (*Id.* citing *Ketchum v. Moses* (2001) 24 Cal.4th 1122, 1140.)

2.

CASE #	**CASE NAME**	**HEARING NAME**
CVRI2306850	BALDI vs BALDI BROS., INC.	MOTION TO FIX ATTORNEY'S FEES

Tentative Ruling: Defendants, Salvatore M. Baldi; Joseph D. Baldi; and Pasquale J. Baldi's Motion to Fix Attorney's Fees is granted the reasonable reduced amount of $141,648.00 (after application of a 25% negative multiplier).

In general, California follows the "American Rule" regarding entitlement to attorney's fees, whereby each party bears its own attorney's fees unless such fees are expressly provided for by statute, or are included as part of the terms of a contract. (CCP §1021; *Reynolds Metal Co. vs. Alperson* (1979) 25 Cal. 3d 124, 127.) Attorney's fees as an allowable cost item are governed by CCP §1033.5(a)(10) and (c)(5), and motions for such fees are governed by CRC 3.1702.

The court may properly award attorney's fees when a contract provides for the allowance of attorney's fees and suit is instituted to enforce the provisions of the contract: the trial court decides who is the prevailing party, and fixes attorney's fees pursuant to Civil Code § 1717. Section 1717 applies to contract provisions for the recovery of attorney's fees, whether such provisions are unilateral (that is, allowing only one party to recover), or reciprocal (such as one allowing recovery by a "prevailing party".) (*Santisas vs. Goodin* (1998) 17 Cal. 4th 599, 614).

Individual Defendants assert that Plaintiff brought this action to enforce the BSA; that the Court's 5/15/26 order found they were the prevailing parties by entering judgment in their favor; and that Plaintiff concedes they are entitled to a portion of the costs claimed in their Memorandum of Costs (MOC). Based on these assertions, the Individual Defendants argue they are the prevailing parties entitled to all attorneys' fees requested. Notably, the FAC does not contain a cause of action for breach of contract.

Nonetheless, the BSA provides:

> If either Party files an action or brings any proceeding against the other *arising out of this Agreement*, the prevailing Party shall be entitled to recover